

To	Audit file
From	Drew Underhill, Controller
Date	01/24/2026
Re	Allowance for credit losses under ASC 326 - 12/31/2025

1. SCOPE AND POOLING

This memo documents management's estimate of expected credit losses on trade receivables as of 12/31/2025. Receivables share similar risk characteristics within aging bands, so the portfolio is pooled by days past due: current, 1-30, 31-60, 61-90, over-90. Balances are aged from the invoice due date.

2. METHODOLOGY

Expected loss rates are applied to each pool's open exposure. The rates reflect the collection history of each aging band, with older receivables carrying progressively higher expected loss content, and are reviewed annually against subsequent collections, write-offs, and recoveries retained by aging cohort. The prior-year reserve and sensitivity columns below are the annual back-test controls. Receivables with known collection risk carry a specific reserve in place of the pool rate; none were identified this year.

3. LOSS-RATE SUPPORT AS OF 12/31/2025

Aging pool	Exposure	Loss rate	Prior reserve	Reserve	Sensitivity
current	305,510.77	1.00%	2,331.36	3,055.11	6,354.62
1-30	114,721.59	2.00%	1,750.89	2,294.43	2,386.21
31-60	34,250.31	5.00%	1,306.83	1,712.52	712.41
61-90	24,933.83	15.00%	2,854.06	3,740.07	518.62
over-90	42,350.39	35.00%	11,311.20	14,822.64	880.89
Total	521,766.89			25,624.77	

Historical cohort calculation retained for the annual back-test:

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
current	2022-01-01 through 2024-12-	1,050,000.00	10,750.00	250.00	10,500.00	1.00%
1-30	2022-01-01 through 2024-12-	510,000.00	10,700.00	500.00	10,200.00	2.00%
31-60	2022-01-01 through 2024-12-	300,000.00	15,750.00	750.00	15,000.00	5.00%
61-90	2022-01-01 through 2024-12-	300,000.00	46,000.00	1,000.00	45,000.00	15.00%
over-90	2022-01-01 through 2024-12-	380,000.00	134,250.00	1,250.00	133,000.00	35.00%

4. FORWARD-LOOKING CONSIDERATIONS

No material forward-looking adjustment identified for 2025: customer concentration, collection cadence, and current economic conditions affecting the trade receivables base are consistent with the historical period underlying the pool rates, so no adjustment to the historical loss rates was recorded.

5. CONCLUSION

The recorded allowance equals the pool-level estimate above and is reassessed at each reporting date.

Recorded allowance	25,624.77
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6. SUBSEQUENT-COLLECTION AND SPECIFIC-RISK REVIEW

The following invoice-level back-test matches cash applications through 01/28/2026 to the year-end aging and documents the specific-risk conclusion for each remaining open item.

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-65219	current	25,915.79	25,915.79	0.00	Collected after year end; no specific reserve
INV-65224	current	27,114.49	27,114.49	0.00	Collected after year end; no specific reserve
INV-65268	current	14,031.84	14,031.84	0.00	Collected after year end; no specific reserve
INV-65259	current	7,307.17	7,307.17	0.00	Collected after year end; no specific reserve

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INV-65262	current	21,924.97	21,924.97	0.00	Collected after year end; no specific reserve
INV-65220	current	15,496.14	15,496.14	0.00	Collected after year end; no specific reserve
INV-65243	current	22,608.95	22,608.95	0.00	Collected after year end; no specific reserve
INV-65260	current	17,157.06	17,157.06	0.00	Collected after year end; no specific reserve
INV-65266	current	3,263.30	0.00	3,263.30	Covered by aging-pool reserve; no specific-loss i
INV-65228	current	3,944.57	3,944.57	0.00	Collected after year end; no specific reserve
INV-65267	current	1,802.45	1,802.45	0.00	Collected after year end; no specific reserve
INV-65206	current	21,988.53	21,988.53	0.00	Collected after year end; no specific reserve
INV-65233	current	4,988.75	4,988.75	0.00	Collected after year end; no specific reserve
INV-65229	current	11,050.40	0.00	11,050.40	Covered by aging-pool reserve; no specific-loss i
INV-65245	current	8,038.42	8,038.42	0.00	Collected after year end; no specific reserve
INV-65242	current	4,967.20	0.00	4,967.20	Covered by aging-pool reserve; no specific-loss i
INV-65263	current	24,991.80	0.00	24,991.80	Covered by aging-pool reserve; no specific-loss i
INV-65256	current	25,026.40	25,026.40	0.00	Collected after year end; no specific reserve
INV-65240	current	19,367.76	19,367.76	0.00	Collected after year end; no specific reserve
INV-65225	current	4,926.74	4,926.74	0.00	Collected after year end; no specific reserve
INV-65230	current	19,598.04	0.00	19,598.04	Covered by aging-pool reserve; no specific-loss i
INV-65223	1-30	17,979.39	17,979.39	0.00	Collected after year end; no specific reserve
INV-65235	1-30	17,369.28	0.00	17,369.28	Covered by aging-pool reserve; no specific-loss i
INV-65212	1-30	21,674.52	21,674.52	0.00	Collected after year end; no specific reserve
INV-65209	1-30	7,598.02	0.00	7,598.02	Covered by aging-pool reserve; no specific-loss i
INV-65214	1-30	21,794.74	21,794.74	0.00	Collected after year end; no specific reserve
INV-65198	1-30	21,652.60	0.00	21,652.60	Covered by aging-pool reserve; no specific-loss i
INV-65183	1-30	6,653.04	0.00	6,653.04	Covered by aging-pool reserve; no specific-loss i
INV-65188	31-60	5,573.88	0.00	5,573.88	Covered by aging-pool reserve; no specific-loss i
INV-65197	31-60	20,260.24	20,260.24	0.00	Collected after year end; no specific reserve
INV-65181	31-60	8,416.19	8,416.19	0.00	Collected after year end; no specific reserve
INV-65168	61-90	3,265.60	0.00	3,265.60	Covered by aging-pool reserve; no specific-loss i
INV-65174	61-90	13,050.88	0.00	13,050.88	Covered by aging-pool reserve; no specific-loss i
INV-65173	61-90	8,617.35	8,617.35	0.00	Collected after year end; no specific reserve
INV-65147	over-90	13,380.53	13,380.53	0.00	Collected after year end; no specific reserve
INV-65048	over-90	28,969.86	28,969.86	0.00	Collected after year end; no specific reserve

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